

companies in the low-multiplier class. If, as the studies referred to above^{††} would seem to indicate, that group *as a whole* is likely to give a better account of itself than the high-multiplier stocks, then Air Reduction should logically be given the preference—but only as part of a diversified operation. (Also, a thorough-going study of the individual companies could lead the analyst to the opposite conclusion; but that would have to be for reasons beyond those already reflected in the past showing.)

SEQUEL: Air Products stood up better than Air Reduction in the 1970 break, with a decline of 16% against 24%. However, Reduction made a better comeback in early 1971, rising to 50% above its 1969 close, against 30% for Products. In this case the low-multiplier issue scored the advantage—for the time being, at least.*

TABLE 18-2. Pair 2.

	<i>Air Products & Chemicals 1969</i>	<i>Air Reduction 1969</i>
Price, December 31, 1969	39½	16½
Number of shares of common	5,832,000 ^a	11,279,000
Market value of common	\$231,000,000	\$185,000,000
Debt	113,000,000	179,000,000
Total capitalization at market	344,000,000	364,000,000
Book value per share	\$22.89	\$21.91
Sales	\$221,500,000	\$487,600,000
Net income	13,639,000	20,326,000
Earned per share, 1969	\$2.40	\$1.80
Earned per share, 1964	1.51	1.51
Earned per share, 1959	.52	1.95
Current dividend rate	.20	.80
Dividend since	1954	1917
Ratios:		
Price/earnings	16.5 ×	9.1 ×
Price/book value	165.0%	75.0%
Dividend yield	0.5%	4.9%
Net/sales	6.2%	4.25%
Earnings/book value	11.0%	8.2%
Current assets/liabilities	1.53 ×	3.77 ×
Working capital/debt	.32 ×	.85 ×
Growth in per-share earnings		
1969 versus 1964	+59%	+19%
1969 versus 1959	+362%	decrease

^a Assuming conversion of preferred stock.